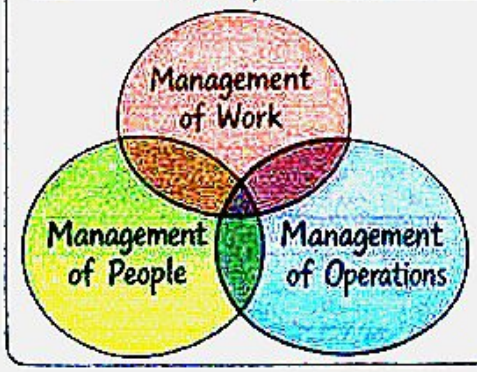
Management

Management is the process of planning, organising, staffing, directing and controlling the resources of an organisian to achieve its goals effectively and efficiently. It is required in all types of organisations — business, social and political — at all levels of management.

Objectives of Management are threefold:

1. Organisational objectives — earning profit, survival and growth.
2. Social objectives — supplying quality goods at fair prices, generating employment and protecting the environment.
3. Personal objectives — fulfilling employee needs like remureration, recognition and career growth.

Management as a Multidimensional Concept



Importance of Management:

- Achieving group goals.
- Increasing efficiency by reducing cost.
- Creating a dynamic organisation.
- Helping achieve personal objectives.
- Contributing to social development.

Levels of Management:

- Top level — Sets objectives and policies.
- Middle level — Interprets plans & coordinates activities.
- Operational level — Supervises workers & implements plans.

Management is a Science, an Art and a Profession:

- Science — Systematic knowledge, lacks absolute accuracy.
- Art — Personal skill, creativity, practice.
- Profession — Specialized knowledge, lacks universal code of conduct.

Functions of Management:

- Planning — Deciding in advance what to do and how.
- Organising — Assigning tasks and authority.
- Staffing — Recruiting and training employees.
- Directing — Leading, motivating, supervising.
- Controlling — Ensuring actual performance matches plans.

Coordination is the Essence of Management:

- Integrates individual efforts.
- Ensures unity of action.
- Contnuous and purposeful.
- Helps achieve organisational objectives efficiently.

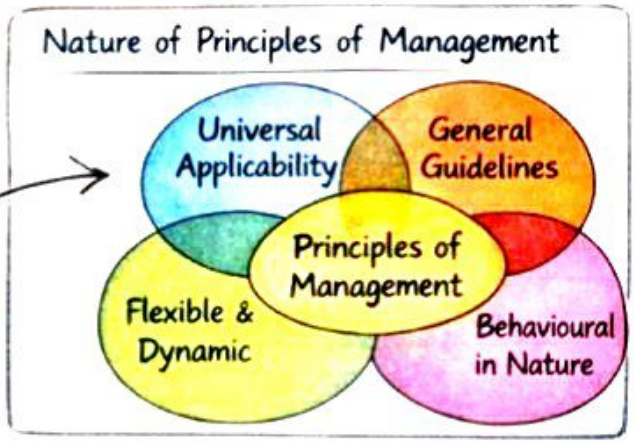
Principles of Management

– Complete Revision (Class 12) –

Principles of Management are broad guidelines developed through observation and experimentation to help managers take decisions and perform managerial functions effectively. These principles are flexible, dynamic, general in nature, and aimed at influencing human behaviour. They are not rigid laws but serve as a guide to managerial action.

Nature of Principles of Management

- Universal applicability – applicable to all organisations.
- General guidelines – not strict rules.
- Formed by practice and experimentation.
- Flexible – can be modified according to situations.
- Behavioural in nature – deal with human behaviour.
- Cause and effect relationship – but not exact.



Fayol's 14 Principles of Management:

- Division of Work – Specialisation increases efficiency.
- Authority and Responsibility – Authority must be balanced with responsibility.
- Discipline – Obedience and respect for rules.
- Unity of Command – One employee should receive orders from one superior.
- Unity of Direction – One plan and one head for similar activities.
- Subordination of Individual Interest – Organisational interest over personal interest.
- Remuneration – Fair wages to motivate employees.
- Centralisation and Decentralisation – Balanced distribution of authority.
- Scalar Chain – Clear line of authority from top to bottom.
- Order – Right person at right place.
- Equity – Fairness and kindness in treatment.
- Stability of Personnel – Low employee turnover.
- Initiative – Encouraging creativity and ideas.
- Esprit de Corps – Team spirit and unity.

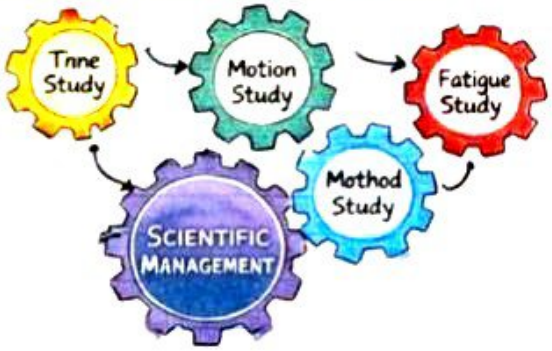
Taylor's Scientific Management:

Scientific Management aims at increasing efficiency through scientific methods rather than rule of thumb.

Principles of Scientific Management:

- Science, not Rule of Thumb
- Harmony, not Discord
- Cooperation, not Individualism
- Development of Workers to Maximum Efficiency

Techniques of Scientific Management:



- Time. Study
- Motion Study
- Fatigue Study
- Method Study
- Functional Poremanship
- Standardisation
- Differential Piece Wage System

Business Environment - Complete Revision (Class 12)

Meaning of Business Environment

Business Environment refers to the totality of all external forces— individuals, institutions and factors— that influence the functioning and performance of a business enterprise.

- These factors are beyond the control of business
- But affect decisions, strategies and survival

Importance of Business Environment

- Identifies opportunities and threats for growth
- Helps in planning and policy formalation
- Improves performance by adapting to changes
- Helps in coping with rapid changes
- Assists in resource utilisation
- Enhances competitiveness of enterprises

Dimensions of Business Environment

1. Economic Environment

Includes factors like:

- Interest rates
- Inflation rate
- Income levels
- Fiscal and monetary policies
- Economic reforms (LPG)

➡ These factors affect demand, cost, profit and investment decisions.

2. Social Environment

- Consists of:
- Social values, beliefs and customs
- Literacy rate
- Life expectancy
- Demographic structure
- Attitudes towards work and consumption

➡ It influences product demand and business practices.

3. Technological Environment

- Includes:
- New inventions
- Automation
- Research and development
- Information technology

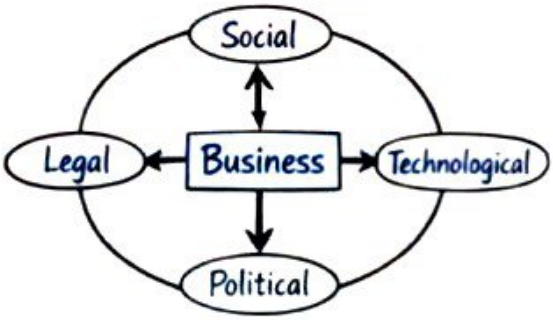
➡ It leads to improved productivity, innovation and efficiency.

4. Political Environment

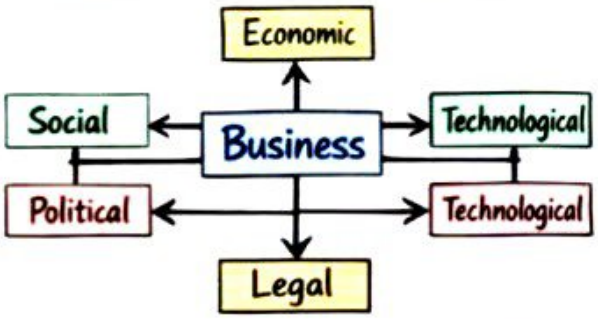
- Comprises:
- Government policies
- Political stability
- Ideology of ruling party
- Acts, laws and regulations

➡ It determines the legal framework within which business operates.

Business Environment



Dimensions of Business Environment



Meaning of Planning

- Planning is deciding future course of action..

> " Planning is deciding in advance what to do, how to do it, when to do it and who is to do it."

Features of Planning

1. Achieving Objectives
2. Primary Function
3. Continuous
4. Futuristic
5. Decision Making
6. Mental Exercise

Limitations of Planning

- Leads to Rigidity
- Dynamic Environment
- Reduces Creativity
- Huge Costs
- Time Consuming
- No Guarantee of Success

Planning Process

Types of Plans

- Objectives
- Strategy
- Policy
- Procedure
- Method
- Rule
- Programme
- Budget

Single-Use Plans vs. Standing Plans

• Single-Use Plans : (e.g. Budget)	• Used Only Once (e.g. Budget)
• Standing Plans : (e.g. Policy)	• Used Repeadtly (e.g. Policy)

- Planning is the foundation of all managerial functions & acts as a roadmap for achieving goals efficiently...

ORGANISING – Class 12 Business Studies (CBSE)

(Handwritten Notes Format – Exam Ready)

Meaning of Organising

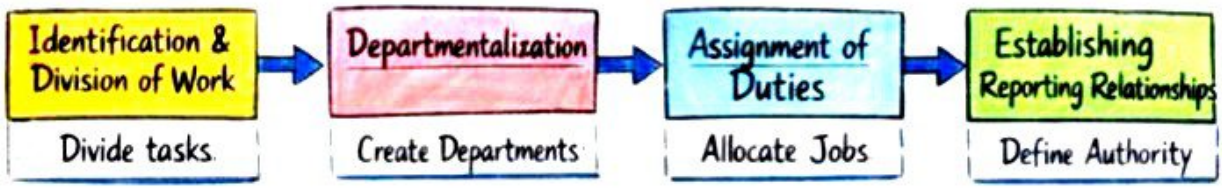
Organising is the process of identifying & grouping work, assigning duties, and establishing authority-responsibility relationships to achieve organisational goals efficiently.

➡ In simple words: Deciding who will do what, how & under whom.

Objectives of Organising

- Division of work
- Defines authority & responsibility
- Establishes coordination
- Optimum utilisation of resources
- Helps in growth & expansion

Process of Organising ☆☆☆



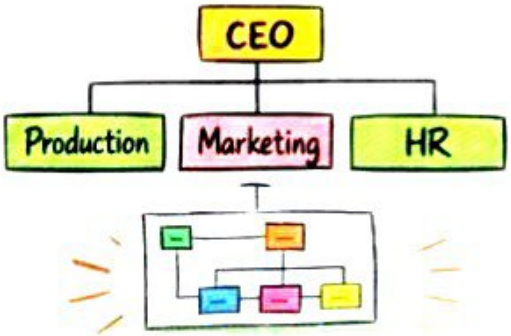
Organisational Structure

It is a framework that shows how activities are divided, grouped, and coordinated.

Types of Organisational Structure

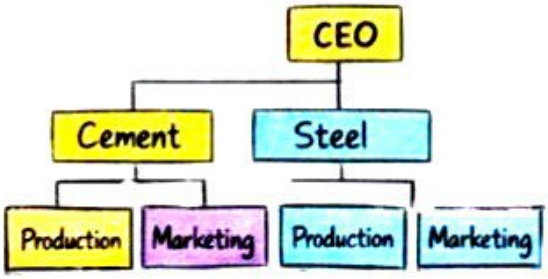
1 Functional Structure

- Based on functions: Production, Finance, HR



2 Divisional Structure

- Organisation is divided on products, or regions.



Difference: Functional vs. Divisional Structure		
Basis of division	**Functional**	**Divisional**
Cost:	Low	High
Coordination	Difficult	Easy
Suitability	**1 Product**	**More products**

CHAPTER: STAFFING

Meaning of Staffing

- Staffing is the process of finding the right people, appointing them, training, developing and maintaining them to achieve organisational goals efficiently.

Right person → Right job → Right time.

Importance of Staffing

- Helps in obtaining competent personnel
- Ensures optimum utilisation of human resources
- Facilitates growth and expansion
- Improves employee morale
- Reduces cost of production
- Helps in effective management of change.

Staffing Process

1. Estimating Manpower Requirements

- Determining the number and type of employees required.

Factors:

- Workload
- Technology
- Size of organisation
- Expansion plans

RECRUITMENT → INTERNAL, EXTERNAL

2. Recruitment

Sources of Recruitment

Internal Sources

- Promotion
- Transfer

Advantages:

- Motivation
- Economical
- Improves morale

External Sources

- Advertisement
- Employment exchanges
- Placement agencies
- Campus recruitment

External Sources

Advantages:

- Fresh talent
- Wider choice

Limitations:

- Costly
- Time consuming

3. Selection

Process of Selection

- Preliminary screening
- Selection tests
- Interview
- Reference check
- Medical examination
- Job offer
- Contract of employment

4. Placement & Orientation

- Placement means assigning a specific job.
- Orientation means introducing new employee to job and organisation.

5. Training

Types of Training

- On-the-Job Training
  - Apprenticeship
  - Job Rotation

Off-the-Job Training

- Lectures
- Case Studies

6. Performance Appraisal

7. Career Planning

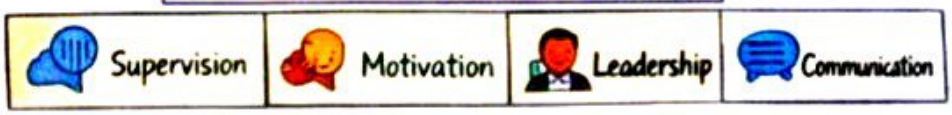
8. Compensation

DIRECTING – COMPLETE REVISION (Class 12 CBSE)

- **Meaning of Directing –**
  - Instructing, guiding, motivating, and supervising employees to achieve organisational goals.
    → Leading people at work.

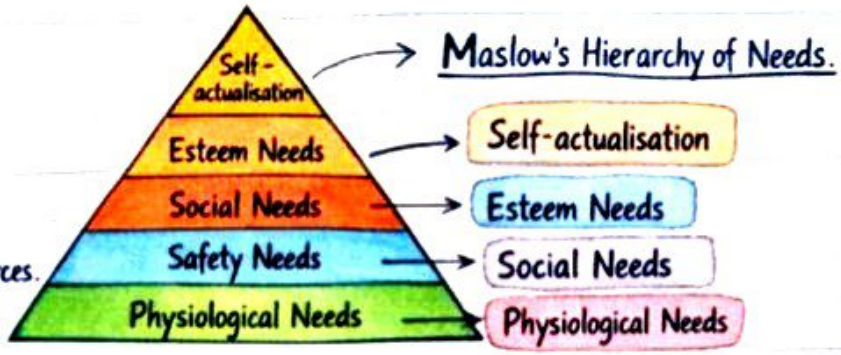
- **Features of Directing –**
  - Initiates action.
  - Continuous process.
  - Pervasive function.
  - Human element.
  - Performance oriented.
  - Initiates action.
  - Integrates employee efforts.
  - Motivates employees.
  - Facilitates change.
  - Stability & balance.

– ELEMENTS OF DIRECTING –



- **1. SUPERVISION**
  - Overseeing the work of subordinates.
- **Importance:**
  - Maintains discipline.
  - Improves productivity.
  - Builds morale.
  - Provides guidance
  - Effective utilisation of resources.

- **2. MOTIVATION**
  - Stimulating people to act.



- **3. LEADERSHIP**
  - Influencing others to achieve goals.
  - Autocratic, Democratic, Laissez-faire
- **Qualities:**
  - Integrity.
  - Communication.
  - Self-confidence.

- **4. COMMUNICATION**
  - Exchange of ideas & information.

- **Barriers:**
  - Semantic.
  - Psychological.
  - Organisational,
  - Personal.

- **IMPORTANT EXAM POINTS –**
  - Definition of Directing.
  - Elements of Directing.
  - Maslow's Need Theory.
  - Leadership Styles.
  - Barriers of Communication.

- **ONE-LINE REVISION –**
  - Directing = Guiding people.
  - Motivation = Energises employees.
  - Leadership = Influences behaviour.
  - Communication = Connects organisation.

CONTROLLING

Class 12 Business Studies (CBSE-2025-26)

Meaning = Ensuring activities are done as per plans.

- → Achieving organisational goals
- → Judging accuracy of standards
- → Efficient use of resources
- → Improving employee motivation
- → Ensures rules and standards are followed.

Planning & Controlling

Planning
- Sets Standards
- First Function.

Controlling
- Measures Performance..
- Last Function.

Both are Interrelated!

Process of Controlling

1. Set Standards.
2. Measure Performance
3. Compare with Standards.
4. Analyse Deviations.
5. Take Corrective Action.

Techniques of Controlling

1. **KRA** (Key Result Areas)
   - Sales Growth, Cost Control...
2. **MBE** (Management by Exception)
   - Focus on Major Deviations.

Limits of Controlling

- → Difficult to Measure Intangibles.
- → Costly Process.
- → Resistance from Employees.
- → External Factors.

Management by Exception

Routine Issues → Minor Deviations → No Action

Major Deviations → Manager's Action!

Chapter 9 – Financial Management

Class 12 | Business Studies | CBSE

1. Meaning of Financial Management

Financial Management refers to planning, organising, directing, and controlling the financial activities of an enterprise.

It deals with:

- Procurement of funds
- Utilisation of funds
- Management of profits

Objective: To ensure optimum utilisation of financial resources.

2. Objectives of Financial Management

A Profit Maximisation

- Traditional objective
- Focuses on earning maximum profit
- Limitation: Ignores risk, liquidity, long-term survival

B Wealth Maximisation (Main Objective)

- Increase market value of shares
- Focus on long-term growth

Considers:

- Risk
- Time value of money
- Shareholders' return

Wealth Maximisation

Hence, wealth maximisation is the superior objective.

4. Financial Planning

Financial planning is the process of estimating financial requirements and determining sources of funds.

- Avoids shortage of funds
- Ensures optimum utilisation
- Helps in expansion plans
- Ensures financial stability

5. Capital Structure

- Meaning: Proportion of different sources of funds.

Example:

- Equity Shares
- Preference Shares
- Debentures
- Loans
- Loans

Factors Affecting:

- Cost of Capital
- Risk
- Cash Flow Position
- Control
- Market Conditions
- Risk
- Cash Flow Position
- Control
- Market Conditions
- Flexibility
- Tax Rate

3. Financial Decisions

1 Investment Decision

- Decision regarding investment of funds in assets
- Types
  - Long-term Investment
  - Fixed assets (land, building, machinery)
  - Known as Capital Budgeting

2 Short-term Investment

- Working capital (cash, inventory, debtors)

Considers:

- Risk
- Time value of money
- Shareholders' return

Hence, wealth maximisation is the superior objective.

3 Financial Decisions

- Decision regarding investment of funds in assets
- Types:
  - Long-term Investment
  - Fixed assets (land, building, machinery)
  - Known as Capital Budgeting

3 Dividend Decision

- Pay dividend to shareholders
- Retain profits for future growth

6. Importance of Working Capital

For Business:

- Smooth operations
- Improved goodwill
- Higher efficiency
- Meeting short-term liabilities
- Regular dividend
- Increased market value

Hence Shareholders:

- Regular dividend
- Increased market value

7. Key Terms (Exam Gold ⭐)

- Capital Budgeting. Decision related to long-term investment
- Wealth Maximisation increase in shareholders' value
- Capital Structure: Mix of debt and equity
- Working Capital: Funds for daily operations

Basis	Fixed Capital	Working Capital
Nature:	Long-term	Short-term
Purpose	Purchase fixed assets	Daily operations
Liquidity	Less liquid	Highly liquid
Duration	Long period	Short period

Chapter 10 : Financial Market

– Class 12 – BST –

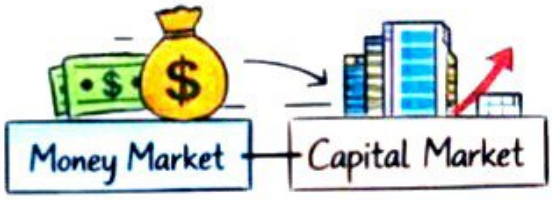
Meaning of Financial Market

A Financial Market is where financial assets like shares, debentures, bonds are created & exchanged.

→ Investors (savers) ↔ Users of Funds (borrowers).

Functions of Financial Market

1. Mobilisation of Savings
2. Allocation of Funds
3. Facilitates Price Discovery
4. Provides Liquidity
5. Reduces Cost of Transactions



Classification of Financial Market

Money Market

- Meaning : Short-term funds (< 1 year)

→ Instruments of Money Market :

1. Call Money
2. Treasury Bills
3. Commercial Paper
4. Certificate of Deposit
5. Commercial Bills

Capital Market

PRIMARY MARKET

- New Issue Market
- Methods of Issue :
  1. Public Issue
  2. Offer for Sale
  3. Private Placement
  4. Rights Issue
  5. e-IPO

SECONDARY MARKET

- Buying & Selling of Existing Securities

Functions of Stock Exchange :

- Liquidity & Marketability
- Pricing of Securities
- Safety of Transactions
- Economic Barometer
- Capital Formation

Money Market vs Capital Market

Basis	Money Market	Capital Market
Time Period	< 1 year	> 1 year
Risk	Low	Higher
Instruments	T-Bills, CP, CD	Shares, Debentures
Purpose	Working Capital	Fixed Capital

Primary Market vs Secondary Market

Basis	Primary Market	Secondary Market
Securities	New	Existing
Capital Raised	Yes	No
Price	Fixed	Market-driven
Transfer	Company → Investor	Investor → Investor

Chapter 10 : Financial Market

– Class 12 – BST –

SEBI (Securities & Exchange Board of India)

→ Meaning : SEBI is the regulatory authority of the capital market in India.

Objectives of SEBI :

1. Protect investors' interests.
2. Promote development of securities market.
3. Regulate the securities market.

→ Functions of SEBI :

→ Regulatory Functions :
- → Registration of brokers
- → Regulation of stock exchanges

→ Developmental Functions :
- → Investor education
- → Training of intermediaries

→ Protective Functions :
- → Prevention of insider trading
- → Checking unfair practices

Trading Procedure on a Stock Exchange

↓

1. Selection of Broker
2. Opening Demat Account
3. Placing Order
4. Execution of Order
5. Settlement of Transactions

→ Functions of Stock Exchange

1. Provides liquidity & marketability
2. Pricing of securities
3. Safety of transactions
4. Economic barometer
5. Encourages capital formation

Chapter 11 : Marketing Management (Class 12 – BST)

1. Meaning of Marketing :
Social process to satisfy needs & wants through exchange of products of value with others.

✓ Features of Marketing :

- ✓ Needs & Wants
- ✓ Pricing a them
- ✓ Creating a Market Offering
- ✓ Exchange Mechanism
- ✓ Customer Value
- ✓ Customer Satisfaction

2. Marketing Management :
Planning, organizing, directing & controlling marketing activities to achieve goals by satisfying in selling.

3. Marketing Concepts / Philosophies :

(i) Production Concept
- Sixed afiom Large-scale Production
- Low cost & wide available.

(ii) Product Concept.

(iii) Selling Concept

(iv) Marketing Concept.

(v) Societal Marketing Concept

5. Marketing Mix (4Ps)

6. Product :

A product is anything as a market to satisfy a want or need.

Consumer Products :
- ✓ Convenience products
- ✓ Shopping products
- ✓ Speciality products

Industrial Products :
- ✓ Materials & parts
- ✓ Capital items
- ✓ Supplies & business services

7. Product Mix :

Defines the total number of product lines & items offered by a firm :

- ◇ Width : Number of product lines
- ✓ Length : Total number of products
- ✓ Depth : Variants of each product
- ◇ Consistency : Reletedness among product lines

3. Branding :

Branding : is give a product a unique symbol, or design.

- ✓ Brand : a name or symbol identifying a product
- ✓ Brand Name : Part spoken.
- ✓ Brand Mark : Part recognized visually
- ✓ Trademark : Legal protection of brand
- ✓ Brand Equity : Value of brand in the market.

8. Dimensions of Branding :

- ✓ Help in product identification
- ✓ Ensures quality
- ✓ Builds brand loyalty
- ✓ Easy promotion

10. Price :

Price is the amount of money customes pay to obtain.

Functions of Pricing Determination :
- ✓ Cost of product
- ✓ Demand
- ✓ Competition
- ✓ Competition
- ✓ Marketing objectives.

12. Physical Distribution (Ploce) :

Fieceusd trough which goods move to consumer.

- ✓ Order Processing
- ✓ Warehousing
- ✓ Inventory Control
- ✓ Transportation

CHAPTER 12
CONSUMER PROTECTION
(FULL & 100% EXAM-READY REVISION NOTES ★)

1. Meaning of Consumer Protection
- Measures & laws to protect consumers against unfair trade practices pectices, defective goods & deficient services.
  - ✓ Fair trade practices
  - ✓ Protection from exploitation
  - ✓ Consumer awareness & education

2. Who is a Consumer?
- Buys goods for consideration (paid, promised, partly paid)
- Uses goods with approval of the buyer
- Hires or avails services for consideration
- ✗ Not for resale or commercial purpose
- ✓ Self-employment to earn livelihood included

3. Importance / Need for Consumer Protection:
- Information asymmetry
- Unorganised consumers
- Widespread exploitation
- Unsafe products
- Social responsibility

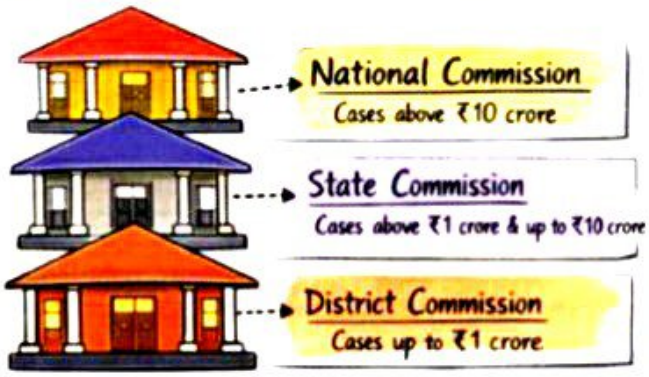
4 Consumer Rights: (As per Consumer Protection Act)

5. Consumer Responsibilities
- Be aware of their rights
- Buy quality marked products (ISI, AGMARK, Hallmark)
- Read labels carefully
- Ask for cash memo / bill
- File genuine complaints

6 Ways & Means of Consumer Protection:
- (A) Self-Regulation by Business
- (B) Business Associations
- (C) Consumer Awareness
- (D) Consumer Organisations
- (E) Government

7. Consumer Protection Act, 2019:
- Protect consumer rights
- Provide speedy redressal
- Establish Consumer Commissions

8 Consumer Redressal Agencies (Three-Tier System)



9. Role of Consumer Organisations & NGOs:
- Educate consumers
- Protect consumer rights
- Uses redressal machinery
- Avoids exploitation
- Promotes ethical business practices

10. Legal Protection to Consumers:
- Consumer Protection Act
- Essential Commodities Act
- Legal Metrology Act
- Presention of Food Adulteration Act